

ratios are likely to see those ratios drift upward over time. The financial analyst must, instead, look beyond current and historical financial and behavioral attributes to estimate investment returns.”⁵⁵

Over time, company results have a tendency to regress to the mean as underlying economic forces attract new entrants to attractive markets and encourage participants to leave low-return businesses. Because of this tendency, companies that have been “good” performers in the past may prove to be inferior investments, while “poor” companies frequently provide superior investment returns in the future. The “good” companies underperform because the market overestimates their future growth and future return on equity and, as a result, accords the stocks overvalued price-to-book ratios; the converse is true of the “poor” companies.

There is a caveat to this study. In 1994 Clayman revisited the original study, screening on the same financial characteristics, and then dividing the S&P 500 universe into deciles, a more systematic approach than the ad hoc selection drawn from Peters’ list.⁵⁶ The best companies in the top decile were labeled as “Good,” and the worst companies in the bottom decile labeled “Poor.” Measured over the five-year period from 1988 to 1992, the Good portfolio generated an annual return of 17 percent, outperforming the Poor portfolio, which could only manage a return of 11.2 percent, annualized. Clayman attributes the difference in results to the fact that the later period was more favorable to glamour stocks than to value stocks, which is unusual. Examining the universe divided into deciles on the basis of price-to-book value alone, the more expensive, high price-to-book value decile generated an average return of 14.3 percent, outperforming the cheaper, low price-to-book value decile, which generated an average return of 12.6 percent annually. She also notes that, “. . . even though the average price-to-book ratio of the good companies fell between the two periods, the faster growth of equity (book value) meant that price performance was not impaired,” which, too, is unusual.⁵⁷ It’s worth noting that the outperformance occurred during a period where glamour outperformed value, which does occur periodically, but not consistently or over the long term, and also that the outperformance relied on book value growing faster than the rate at which the price-to-book value ratio fell, which is an unusual and risky assumption. The more conventional position would be to assume value would continue to outperform glamour, and book value would not grow faster than the price-to-book value ratio falls. The first paper fit into existing microeconomic theory, where the second paper did not, suggesting that the first paper was more likely describing the phenomenon correctly and the second was an outlier.